

Axion — trigger and concept map

One page per trigger. For each: where it comes from in the pre-release, the concepts you must know cold, and the decision tree — what you do depending on which way the information on the day sends you. Red "GO AND LOOK" lines point to the one thing in the big 570-page pack worth pulling out for that section.

The map — which document fires which trigger

Pre-release	What it contains	Triggers it fires
Doc 1, p.3	CFO welcome email. Six-item reading list	The index for the whole paper. Contracted capacity, land, IFRS 18, investment evaluation, tax, AI controls
Doc 2, pp.4-5	Getting Connected. Business model	Industry understanding. Note: says R2.4bn revenue where Doc 5 says R2 620m
Doc 3, pp.6-9	Board strategy day. Axion 2030 and the investment framework	T1 listing · T6 investment decision · T7 funding
Doc 4, pp.10-12	Draft information memorandum. Ownership and governance	T2 governance and ethics
Doc 5, pp.13-15	Business performance pack	T3 revenue and leases · T4 undeveloped land · T10 Metroloop
Doc 6, pp.16-17	IFRS 18 message + JHB4 investment committee extract	T5 IFRS 18 · T10 IAS 23 and the JHB4 scorecard
Doc 7, pp.18-20	Powering Axion	T6 investment · T8 income tax · T9 controls and the AI pilot

The answer formula — use it on every task

FACT → WHY IT MATTERS → PRINCIPLE → APPLICATION → CONSEQUENCE → RECOMMENDATION. Never stop at the principle. Every point carries a "because". Always close with what to do and what information you still need.

T3 — Revenue versus leases (the one to get right)

From: Document 5, pp.14-15. Four revenue streams, contracts 3 to 5 years, invoiced monthly, "dedicated racks, cages or areas", "access to a contracted amount of power capacity", 45/40/35 MW, customers may contract before using.

Step 1 — Is there a lease at all? (IFRS 16.9)

Three tests, **all** must be met. Work them in order and stop at the first failure.

Test	Pass	Fail
Identified asset. A physically distinct portion of a larger asset qualifies. A capacity portion that is not physically distinct does not, unless it is substantially all the capacity.	"Dedicated racks, cages or areas" — physically distinct, customer-controlled access, no substantive substitution right. This is a lease of the space.	"Access to a contracted amount of power capacity" — a capacity right, not a distinct asset. Goes to IFRS 15.
Substantially all the economic benefits from use, throughout the period.	Customer houses its own equipment and takes all the output.	If Axion can move the customer at will, or shares the space, reconsider.
Right to direct the use — how and for what purpose the asset is used.	Customer decides what equipment goes in, how it is configured, when installed or removed, what workloads run.	Axion's access rules, safety requirements and monitoring are protective rights . They do not defeat the test — say this expressly.

Step 2 — If it IS a lease: Axion is the LESSOR

1. **Separate the components (IFRS 16.12).** A right of use is a separate lease component if the customer can benefit from it alone or with readily available resources and it is not highly dependent on the others. Two cages in different cities under one contract are two lease components.
2. **You have no practical expedient.** IFRS 16.15 (not separating lease from non-lease) is **lessee only**. Separation is mandatory for Axion. This is the single most likely thing to get wrong.
3. **Allocate (IFRS 16.17).** The lessor allocates using IFRS 15.73 to 90 — relative stand-alone selling prices. There is no observable stand-alone price for the space, so estimate under IFRS 15.79 (adjusted market assessment or expected cost plus margin). Significant judgement — disclose it.
4. **Classify (IFRS 16.61-64): finance or operating.** On Axion's facts it is an **operating lease** — no transfer of ownership, no bargain purchase option, 3 to 5 years against a 20 to 30 year asset, present value nowhere near fair value, and the cage is generic and re-lettable.

5. **Recognise operating lease income on a straight-line basis over the lease term**, unless another systematic basis is more representative. **Escalating payments must be straight-lined** — if the day gives you a contract with annual escalation, that is the calculation.
6. **Costs to obtain the lease** are added to the carrying amount of the underlying asset and expensed over the lease term. **Lessor disclosure** is IFRS 16.89 to 97.

Step 3 — If it is NOT a lease: IFRS 15

7. **Identify the contract.** Enforceable rights and obligations, collection probable.
8. **Identify the performance obligations.** Capacity/stand-ready, power, interconnection, ancillary. Distinct if the customer can benefit on its own and it is separately identifiable in the contract.
9. **Determine the transaction price.** Watch variable consideration (usage-based ancillary), penalties for breaching the 99.999% availability commitment (variable consideration, constrain it), and note **Axion does not provide financing to its customers** — that closes off a significant financing component.
10. **Allocate** on relative stand-alone selling prices.
11. **Recognise** as each obligation is satisfied.

Step 4 — The three IFRS 15 judgements the examiner is actually after

Issue	The question	The answer on the pre-release facts
Stand-ready obligation — the 5 MW gap	40 MW contracted, 35 MW utilised. When is revenue on the unused 5 MW recognised?	Capacity is a stand-ready obligation : the customer pays for availability. Revenue is recognised over time as capacity is made available , not as electricity is consumed. Straight-line unless another measure better depicts the transfer. Take-or-pay and minimum-commitment clauses do not change this.
Principal or agent — the power recharge	Axion buys electricity and recharges it, including a contribution toward cooling.	Ask whether Axion controls the electricity before it transfers to the customer — does it bear inventory/price risk, set the price, is it primarily responsible? If yes, principal, gross . If it merely arranges supply, agent, net . The facts (separately metered, recovered per contract, plus a cooling contribution) lean principal , but argue both and conclude.
Contract start dates and enforceability	Customers contract before use.	Revenue starts when the capacity is made available, not at signature. Check cancellation rights — a contract cancellable without penalty may have a much shorter enforceable term.

GO AND LOOK: Pack A pages 169 to 208 — "Axion Revenue and Contracted Capacity" and "Contracted Capacity". Thirteen sections including enforceability, cancellation and modification, IFRS 9 expected credit losses on the receivable, and how contracted capacity converts to billable capacity. If you get a revenue task, this is the pack to have open.

T4 — The undeveloped land

From: Document 5, p.15. Land acquired years ago for future expansion, plans have evolved, "remains undeveloped while management considers how best to use it", and the finance team is considering the accounting implications.

The default answer on the pre-release facts: IAS 40 investment property. IAS 40.8(b) expressly includes *land held for a currently undetermined future use* — if the entity has not determined that it will use the land as owner-occupied property or sell it in the ordinary course of business, the land is deemed to be held for capital appreciation. That is the pre-release wording almost exactly.

The decision tree — branch on what the day tells you

If the information on the day says...	Classification	What you then do
Plans are still undetermined (the pre-release position)	IAS 40 investment property , 40.8(b)	If it currently sits in PPE, reclassify . Consider whether this is a prior period error under IAS 8 — if so, restate comparatives and draft the error note.
The board has committed the site to the Axion 2030 capacity programme, to be developed and owner-occupied	IAS 16 PPE (IAS 40.9(c) excludes property held for future use as owner-occupied)	Transfer at the date of change in use. Land is not depreciated . Borrowing costs on construction go to IAS 23 once the capitalisation criteria are met.
The board resolves to develop the site with a view to sale	IAS 2 inventories (IAS 40.57(b))	Transfer on commencement of development with a view to sale. Measure at the lower of cost and net realisable value thereafter.
The board resolves to sell the site as it stands, and the IFRS 5 criteria are met	IFRS 5 held for sale	Only if available for immediate sale in its present condition, sale highly probable, active programme, marketed at a reasonable price, expected within 12 months. Measure at lower of carrying amount and fair value less costs to sell. Investment property at fair value stays on IAS 40 measurement — IFRS 5 measurement does not apply to it.

The site is impaired, or there are indicators	IAS 36	Only relevant on the cost model. Investment property at fair value is already remeasured, so IAS 36 does not apply to it.
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Measurement, once you have classified it

- **IAS 40 choice: fair value model or cost model**, applied to all investment property. Under the fair value model, gains and losses go to **profit or loss** — not OCI. Land is not depreciated under either model.
- **Transfers**. Under the **cost model**, transfers are at carrying amount — no gain or loss. Under the **fair value model** the rules differ by direction: PPE → investment property, revalue to fair value at the date of transfer and treat the difference as a **revaluation under IAS 16** (surplus to OCI, deficit to profit or loss); investment property → PPE or inventories, the fair value at the date of change of use becomes the deemed cost, with no further gain.
- **Deferred tax**. IAS 12.51C: for investment property measured at fair value there is a **rebuttable presumption that the carrying amount will be recovered through sale**. For land, recovery through sale means no capital allowances and a CGT base cost — so the deferred tax is measured at the CGT effective rate ($80\% \times 27\% = 21.6\%$), not 27%. The presumption is rebutted only where the property is depreciable and held in a business model to consume substantially all its economic benefits — which does not apply to land.
- **Land never attracts a capital allowance**. No s13quin, no s12B. Its only tax relief is base cost on disposal.

GO AND LOOK: Pack B pages 79 to 96 has **seven worked scenarios A to G with journals** — PPE to investment property on both models, investment property back to PPE, to inventories, held for sale and disposal. If a journal is asked for, that is where the answer is.

T5 — IFRS 18

From: Document 6, p.16. Replaces IAS 1, effective for periods beginning on or after 1 January 2027. Axion is **not adopting it yet** — this is an impact assessment. It changes **presentation and disclosure only**. Profit for the year does not change. If your answer says profit changes, it is wrong.

Step 1 — Classify every income and expense into one of five categories

Category	What goes in
Operating	The residual. Everything not in the other four. Never ask "is this operating?" — ask "is it investing, financing, tax or discontinued?" If not, it is operating.
Investing	(a) equity-accounted associates, joint ventures and unconsolidated subsidiaries; (b) cash and cash equivalents; (c) other assets generating a return individually and largely independently of other resources.
Financing	(a) all income and expenses on liabilities that involve only the raising of finance (borrowings); (b) only the interest on other liabilities (lease liabilities, unwinding of provisions). Depreciation of a right-of-use asset stays in operating.
Income taxes	IAS 12 amounts and related forex.
Discontinued operations	IFRS 5 amounts.

Two required subtotals: operating profit, and profit before financing and income taxes. Both are mandatory for Axion. The only exemption is for entities providing financing to customers as a main business activity — and Document 5 says expressly that **Axion does not provide financing to its customers**.

Step 2 — Does Axion have a specified main business activity?

There are only two: **investing in assets**, and **providing financing to customers**. Axion has neither. Its assets deliver a service; they do not generate returns individually and independently. So the standard classification applies and nothing moves into operating. Say this expressly — it is a mark.

Step 3 — Management-defined performance measures: three tests, in order

12. Is it a **subtotal of income and expenses**? A ratio, a per-unit measure, a volume or a cash flow measure is **not** and fails here. So capital cost per MW, revenue per MW, capacity delivered and health and safety incidents are all out immediately.
13. Is it used in **public communications outside the financial statements**?
14. Does it communicate management's view of an aspect of the performance of **the entity as a whole**, and is it not a subtotal listed in paragraph 118?

Axion measure	Verdict
Net interest not capitalised	Not an MPM, on two independent grounds. It is not used in external communications (Document 6 says so), and it relates to JHB4, not the entity as a whole. Give both grounds.

EBITDA	Probably not an MPM — paragraph 118 lists operating profit before depreciation, amortisation and IAS 36 impairments. But get the definition. If management adds back anything else, it is no longer the listed subtotal and is likely an MPM.
Capital cost per MW, revenue per MW, capacity delivered, milestones, safety incidents	Not MPMs. Fail test 1.

The killer point — "net interest not capitalised" cannot go in profit or loss

It is interest expense **less** interest income on undeployed funds. Under IFRS 18 the expense is **financing** and the income is **investing** — opposite sides of the profit before financing and income taxes subtotal. Presenting it net is **prohibited offsetting**. It survives as an internal measure; it cannot be a line in the statement of profit or loss. The same objection kills any "net finance cost" line.

What to reclassify in Axion's remapping

- **Metroloop** — equity accounted, so **always investing**, however integral the metro fibre network is to interconnection. Operating profit falls. This is the change most likely to surprise the board, because Ubuntu and Horizon benchmark on operating profit.
- **Interest income on undeployed JHB4 funds** — investing, presented gross, above the subtotal.
- **Capitalised borrowing costs** — not in profit or loss at all. Only the uncapitalised portion is a financing expense.
- **Check:** operating profit R700m less finance costs R375m equals PBT R325m exactly. So the three-year summary shows **no** separate line for Metroloop or interest income. Ask why.

GO AND LOOK: Pack C — the EY "Good Group International Limited — IFRS 18" illustrative financial statements. If the day gives you a remapped statement of profit or loss to critique, compare it against the illustrative statement on pages 12 to 15 of that file. It shows exactly what the face should look like.

T6 and T7 — The investment decision and how to fund it

From: Document 3, p.8 section 4 (the three-stage framework and the beta flow) and Document 7, p.20 (the four renewable options).

Step 1 — Which option is on the table?

Option	Key feature	What changes in your answer
1. Additional PPAs	Buy from an independent producer. Limited upfront capital.	No asset, so no capital allowance — s11(a) only. Lowest risk, lowest capital, no control.
2. Direct investment	Build and own, possibly with a technical partner.	Capital allowances (s12B 50/30/20, s12U 100%, s13quin 5%, s11(e)). Highest capital, construction and operating risk, most control.
3. Off-site generation and wheeling	Generated elsewhere, delivered through the network.	Follows option 2 if Axion owns the plant, otherwise option 1 plus s11(a) on wheeling and network charges. Add curtailment, transmission losses and electricity generated but not used.
4. Long-term offtake	Axion as the anchor customer for a project.	Option 1 plus s23H where anything is prepaid, plus IAS 37 onerous contract because purchase commitments may begin before the facility is fully utilised.

Step 2 — Get the basis right before you calculate anything

- **Pre-tax cash flows need a pre-tax discount rate. Post-tax needs post-tax.** Document 3 says initial feasibility uses pre-tax. If you tax-effect the cash flows and discount at a pre-tax rate, the whole answer is wrong. Approximate conversion: pre-tax rate = post-tax WACC ÷ (1 – 0.27).
- **Relevant costing.** Include only cash flows that differ. Exclude sunk costs, common costs, allocated overheads that do not change, and financing cash flows where the WACC already reflects financing.
- **Capital expenditure is a cash flow but not a deduction.** Relief comes only through the allowance sections, as a separate line: allowance × 27%.

Step 3 — The project-specific cost of capital

- Comparable **equity (geared) beta** → remove the comparable's gearing → **asset (ungeared) beta** → regear at the **project's** target structure → **project equity beta**.
- Ungear: $\beta_{\text{asset}} = \beta_{\text{equity}} \times E / (E + D(1 - t))$. Regear: $\beta_{\text{equity}} = \beta_{\text{asset}} \times (1 + D(1 - t)/E)$.
- CAPM: $K_e = R_f + \beta_{\text{equity}}(R_m - R_f)$. $WACC = K_e \times E/(D+E) + K_d(1 - t) \times D/(D+E)$.
- Several comparables → ungear each at its own structure, average the asset betas, regear once.
- The comparable must match **the project**, not Axion — a renewable producer, not a data centre operator.

- Do not add an arbitrary premium for risks already in the cash flows. Specific risk belongs in the cash flows or in sensitivity, not in the rate.

Step 4 — Break-even, done properly

- The decision-relevant break-even is the **point of indifference between the two options**, not an NPV of nil. Set $NPV(PPA) = NPV(\text{build})$ and solve for the variable — that gives the **maximum PPA tariff** Axion should accept.
- Express both on a **levelised cost per kWh** so a 3 to 5 year PPA and a 25 year plant are comparable.
- State it as a decision rule: "contract below R x per kWh, otherwise build".

Step 5 — Funding: FRICTO on the three options in Document 3

	Additional debt	Existing shareholders	New strategic investor
Flexibility	Poor. 4.35x borrowings to EBITDA leaves minimal headroom; covenants restrict further borrowing, disposals and distributions	Good. No fixed service obligation, dividends discretionary	Good on the balance sheet, reduced on governance — expect information and veto rights
Risk	High. Operating profit interest cover already 1.87x; debt service is fixed while revenue depends on the utilisation ramp	Lowest. Reduces gearing, restores cover, creates headroom	Low financial risk; strategic and control risk instead
Income / cost	Cheapest, about 10.5% pre-tax, deductible subject to s23M — but the marginal rate rises with gearing	Most expensive, cost of equity 18 to 22%; dividends not deductible	Priced between the two; may demand a discount for illiquidity
Control	Best. No dilution, no new board seats	Neutral if all follow — but if Ubuntu follows and Horizon does not, control shifts materially	Dilution plus a likely board seat and a shareholders' agreement amendment
Timing	Fastest — the R1.2bn JHB4 syndicate relationship exists	Moderate. s39 pre-emptive rights and the shareholders' agreement must run	Slowest. Due diligence and negotiation
Other	Covenant breach risk; possible reclassification of borrowings as current under IAS 1	Signalling — failure to follow is itself a negative signal to lenders and the market	Brings expertise and credibility; may also bring a listing or exit agenda

The numbers that decide it: interest cover on EBITDA has fallen 3.31 → 3.12 → 2.98; on operating profit 2.04 → 1.95 → 1.87; borrowings to EBITDA 4.35x; gearing 47.3%; capex about 1.8x EBITDA. Axion is already at the level most lenders set the covenant. **More debt is the weakest option** even though it is the cheapest.

GO AND LOOK: Pack A pages 377 to 484 — "Trigger 6 and 7 Investment and Funding Decision". If a full NPV or funding task comes up, that is the deep reference, including the sensitivity and scenario templates.

T8 — Income tax on the renewable investment

From: Document 7, pp.18–20. Corporate rate 27%. CGT effective 21.6% (80% × 27%).

The branch: does Axion own the asset?

If...	Then	Watch
No asset owned (PPA, or an off-site plant owned by the producer)	s11(a) with s23(g) only — the full cost of electricity, every year, no rate and no write-off period. Not capital: it works the income-earning operations.	No capital allowance at all under s12B, s12BA or s11(e) — each requires ownership. Exception: an arrangement that is in substance an instalment credit agreement does give Axion s12B despite the producer holding title.
Axion owns the plant	s12B(1)(h): 50 / 30 / 20 over three years. 100% in year one only for photovoltaic solar not exceeding 1 MW . s12U: 100% on new roads and fences. s13quin: 5% on a new building. s11(e) on transmission lines, transformers and grid-charged batteries.	s12BA (125%) is gone — it required first use before 1 March 2025. Do not build a case on it.
A joint operation	Axion deducts its proportionate share under s24H , limited by the at-risk amount in s24H(3), excess carried forward under s24H(4).	

The four things that destroy the allowance — check each

- Ownership.** s12B needs Axion to own the asset and bring it into use in its own trade. If the plant accedes to land Axion does not own (superficies solo credit), there is **no deduction to Axion and none to the landowner** either. s12N only rescues government land or a public-private partnership.

- **Mixed sources.** An **asset** that generates from both renewable and non-renewable sources qualifies for **nothing**, with no apportionment. The test is at asset level — separate diesel generators elsewhere on site do not taint a standalone solar plant. The risk is hybrid equipment.
- **The s12U trade test.** s12U requires the taxpayer's trade to be **the generation of electricity exceeding 5 MW**. s12B has no restriction on trade type, s12U does. If Axion generates only for its own use, the roads and fences deduction may fail.
- **Absorption.** s20(1)(a) restricts a brought-forward assessed loss to the higher of R1m or 80% of taxable income. A project company with little other income traps the benefit for years. Holding the plant inside Axion, where there is about R350m of taxable income, converts a deferred deduction into an immediate one. **Structure is worth more than the rate.**
- **Funding:** s24J interest as incurred on a yield-to-maturity basis. **s23M** caps it where the lender is in a controlling relationship and is not subject to SA tax — deferred, not forfeited.
- **Disposal:** s8(4)(a) recoupment, proceeds limited to cost less tax value, capped at allowances claimed. s8(4)(k) substitutes market value for a connected person. s11(o) only if tax life ≤ 10 years and the buyer is not connected, and never for s12U assets. Excess over cost is a capital gain at 21.6%.
- **Other taxes, briefly:** VAT input fully deductible; customs duty is not recoverable and forms part of s12B cost; carbon tax arises on the diesel generators, not on purchased electricity, so it is not incremental to this decision.

T10 — JHB4 borrowing costs, and Metroloop

IAS 23 — the three questions, in order

Question	Rule	JHB4
Has capitalisation commenced?	All three: expenditure incurred, borrowing costs incurred, and activities necessary to prepare the asset are in progress.	Construction commenced in FY2026. Drawing funds before construction starts does not start capitalisation — that interest is expensed.
Must it be suspended?	Suspend during extended periods in which active development is interrupted . Do not suspend for a temporary delay that is a necessary part of the process, or while substantial technical work continues.	The grid connection is "critical". A delay waiting for grid connection with no other activity is an interruption → suspend → more interest to profit or loss. Argue it, do not assert it.
Has it ceased?	When substantially all the activities necessary to prepare the asset for its intended use are complete. If completed in parts and each part is usable independently, cease for each part as it completes.	JHB4 is to be "brought into service in phases" — so cease per phase , and start depreciating that phase.

- **Specific borrowings:** capitalise actual borrowing costs **less investment income on the temporary investment of those borrowings**. This is why the undeployed funds on short-term deposit matter — they reduce the capitalisable amount before anything reaches profit or loss.
- **The commercial point:** deposit rates are below the facility rate, so drawing ahead of need creates a **negative carry**. That is exactly what "net interest not capitalised" is designed to police — and it is a sensible measure, badly placed.
- **The control weakness:** Group Treasury negotiates the facility but the **delivery team decides drawdown timing**. Reward for cost efficiency sits with a team whose primary incentive is schedule. Recommend drawdown approval against a certified payment schedule, a treasury countersignature, and a cash-flow forecast supporting each draw.

Metroloop — 40%, equity accounted

15. **Is there joint control at all?** IFRS 11.7 requires **unanimous consent** of the parties sharing control over the relevant activities. 40% does **not** create joint control by itself. At 40%, **significant influence is presumed** (IAS 28.5) and joint control must be proved.
16. **If only significant influence** → associate under IAS 28 → equity method.
17. **If joint control** → classify: **not structured through a separate vehicle = always a joint operation** (B16). If through a separate vehicle, the presumption is joint venture, then test in order: legal form (B22–24) → contractual terms (B25–28) → other facts and circumstances (B29–33).
18. **Why it could be a joint operation.** B31–33: the parties have rights to substantially all the output, and the parties provide the cash flows that settle the liabilities on a continuous basis. Metro fibre vehicles are commonly built exactly that way — each party takes fibre capacity for its own network and funds the vehicle. **If Metroloop sells substantially all its capacity to Axion and its co-venturer and they fund it, the joint venture presumption is rebutted.** Axion is in the connectivity business, so taking output is the commercially obvious arrangement.

19. **Consequence.** Joint operation → recognise Axion's share of assets, liabilities, revenue and expenses line by line. Joint venture or associate → equity method, one line, and under **IFRS 18 that line is in the investing category.**

T2 — Governance and ethics

From: Document 4, pp.11-12. Ethics is rarely triggered in the pre-release — expect to meet the actual dilemma for the first time on the day.

First, know which source binds

Source	Status	Effect
Companies Act and Regulations	Law. Must be complied with.	A breach is a breach.
King V	Apply and explain. Issued 31 October 2025, 13 principles, effective for years beginning on or after 1 January 2026 — Axion's first affected year is FY2027 .	A departure is not a breach; it is something to be explained. Document 4 says only that practices are "informed by" King V.
SAICA Code	Binds a member in full.	Applies to the CFO (a CA(SA)) and to you . For a director who is not a member, apply King V and use the fundamental principles as supporting standards.

The statutory position — get this right first

- Axion is a **private company**. Its public interest score is **well above 9 000** (roughly 300 employees + R6 850m liabilities + R2 620m revenue + shareholders).
- Audit is compulsory** — Reg 28, PIS ≥ 350. So auditor independence is a statutory matter, not a choice.
- Social and ethics committee is compulsory** — s72 and Reg 43, PIS above 500 in any two of the previous five years. Test composition against Reg 43(4) (at least three directors or prescribed officers, one a director not involved in day-to-day management in the previous three years) and functions against Reg 43(5).
- s94 does NOT apply** — it binds public and state-owned companies only. Axion's Audit & Risk Committee is therefore **voluntary** unless the MOI requires it, and the s94(4) independence tests are persuasive, not binding. Check the MOI. This is the single most load-bearing governance fact.

The issues visible on the face of Document 4

- Van de Wyk** is Ubuntu's investment director and **chairs the Investment Committee** — a shareholder nominee chairing the committee that approves capital allocation. Conflict of interest; s75 disclosure; consider recusal or an independent chair.
- Dr September chairs the board and two committees** (Social & Ethics, and Remuneration & Nomination). Capacity and independence question; King V favours separating these.
- Mthanda** is a former audit partner — of which firm, and how long ago? If of **KZL Inc**, a cooling-off period matters for her chairing Audit & Risk.
- Only two of seven directors are independent.** Low is a founder and 7% shareholder — not independent. Van de Wyk and Kahn are investor-linked — not independent.
- Nomination rights** in the shareholders' agreement, and what a new strategic investor would demand.

Structure for any ethics task

- What is the dilemma?** Describe it precisely.
- What bears on it?** The facts, plus the SAICA Code fundamental principles and the five threats, King V, the Companies Act (s76 duties, s77 liability, s75 conflicts), and NOCLAR where relevant.
- What should be done?** Balanced discussion, then a clear course of action, respectfully. "Consider" for the optional; state the mandatory plainly.

GO AND LOOK: Pack A pages 89 to 168 — the ethics addendum and **practice questions**. If you have an hour to spare tonight, work two of those practice questions rather than re-reading theory. Ethics is the task you cannot prepare content for, only structure.

T9 — Controls and the AI pilot

From: Document 7, p.19. An AI-enabled maintenance tool is being piloted at Johannesburg 1, using operational data to identify and prioritise equipment needing maintenance. **The Audit & Risk Committee has requested assurance over the processes and controls supporting the pilot** before wider implementation. That sentence is a task instruction.

If asked for controls over the AI tool

- **Governance:** approved purpose and scope, a model inventory, and board or committee approval before wider rollout.
- **Input:** data sourcing, completeness and accuracy of the sensor and operational data feeding the model; segregation between who prepares and who reviews.
- **Model:** version control, change management and revalidation after any change; independent validation of the model separate from its developer.
- **Output:** grounding and factual verification; reasonableness review against engineering judgement; a human decides, the tool recommends.
- **Monitoring:** exception reporting, incident logging, tracking of false positives and, more importantly, **false negatives** — equipment the tool did not flag that then failed.
- **Fallback:** the existing maintenance regime must still work if the tool is unavailable. With a 99.999% availability commitment, there is no tolerance for a missed failure.
- **Audit trail and retention** for everything above.

If asked for assurance rather than controls, structure it as: objective and scope → criteria → risks → procedures → evidence → reporting. Say what level of assurance is being given (reasonable or limited) and to whom.

If asked about the JHB4 scorecard instead, the weaknesses are: no measure of build quality; the measures conflict (schedule against cost); "net interest not capitalised" rewards a team for a treasury outcome it only partly controls; and there is no safety weighting relative to the others. Recommend SMART replacements.

GO AND LOOK: Pack A pages 535 to 570 — "Audit Controls Expanded" and "Pilot Audit Controls", and Pack B pages 243 to 278 which includes **wheeling settlement controls** and a 17-point control list for an AI valuation model. If the day gives you an AI-generated calculation to critique, the valuation-model list is the one to use.

T1 — A possible listing

From: Document 3 — funding options include "investment from a new strategic investor", and Document 4 is a **draft information memorandum for a strategic funding review**. If the day turns this into a listing question:

- **Eligible on the financial tests.** PBT of R325m comfortably exceeds the R15m Main Board profit threshold, and net assets of about R5.4bn exceed the R500m alternative asset route.
- **The obstacles are structural, not financial:** at least 25 million issued equity shares, a **10% free float**, and **100 public shareholders**. Axion is privately held, so a listing transaction would have to create the float and the spread.
- **Also unconfirmed:** whether the three years of figures are **audited**, the JSE-defined net asset value excluding minority interests, the share register, 12-month control history, and sponsor appointment.
- **Advantages:** equity for JHB4 and renewables, less reliance on debt when gearing is already 47%, a platform for future raises, liquidity and a partial exit for shareholders, and shares for employee incentives.
- **Disadvantages:** dilution and loss of founder control, once-off and ongoing costs, disclosure to competitors and customers, short-term market pressure, slower decision-making, and execution risk on valuation.

The management accounting angle — the last 5 MW

Installed 45 MW, contracted 40 MW. **Only 5 MW is left to sell.** If the day gives you competing customers, this is a **limiting factor** problem.

- **Rank on contribution per MW**, not revenue and not customer count. Contribution per MW = capacity fees + power margin + interconnection + ancillary revenue, less the customer's electricity, variable support costs and credit losses, for each MW reserved.
- **Then adjust for the factors the number does not capture:** contract length, credit quality, power density, ecosystem value (a cloud provider makes the platform more valuable to everyone else), and strategic fit.
- **Distinguish three things** that are easy to blur: contracted capacity, service-ready capacity, and utilised capacity.
- **Remember the two meanings of "5 MW"** — 5 MW of installed capacity still to sell, and a 5 MW gap between contracted and utilised. They are different things.

The numbers to carry in

	FY2024	FY2025	FY2026
Revenue (R'm)	1 820	2 160	2 620
EBITDA	745	905	1 116

Operating profit	460	565	700
Finance costs	(225)	(290)	(375)
Profit before tax	235	275	325
Total assets	8 750	10 350	12 250
Borrowings	3 150	3 950	4 850
Equity (assets less liabilities)	4 050	4 650	5 400
Interest cover — EBITDA	3.31	3.12	2.98
Interest cover — operating profit	2.04	1.95	1.87
Borrowings / EBITDA	4.23	4.36	4.35
Gearing	43.8%	45.9%	47.3%
Installed / contracted / utilised MW	32 / 27 / 24	38 / 33 / 29	45 / 40 / 35

Also: R3-5bn capital over five years. JHB4 facility R1.2bn. Metroloop 40%. Five facilities, 350+ customers, 300 employees, 99.999% target availability. Shareholders Ubuntu 35%, Horizon 30%, Moleke 18%, Employee & Empowerment Trust 10%, Low 7%. **Document 2 says R2.4bn revenue where Document 5 says R2 620m — never use one silently in a calculation.**

The four sentences that decide four different tasks

23. **"Axion does not provide financing to its customers."** Closes the significant financing component under IFRS 15, **and** the specified main business activity test under IFRS 18.
24. **"Customers may contract for capacity before they begin using it."** Stand-ready obligation, and the 5 MW gap.
25. **"Purchase commitments may begin before the new facility is fully utilised."** IAS 37 onerous contract on a long-term offtake.
26. **"Not included in Axion external communications."** Decides the MPM question — "net interest not capitalised" is not an MPM.

On the day — the sequence

27. **Read the task list first and count the tasks.** Divide the time. Reserve 40 minutes to read and plan, 40 minutes to check. **Never exceed 75 minutes on any task.**
28. **Number the components of each required** ①②③ and write down the scope words: "high level", "ignore tax", "no calculations", "only critique what is provided", "at least three". These are instructions, not hints.
29. **Identify the audience** and match the format. Email, memo, report, minutes — and the right tone for a board, a CFO, a junior or an external party.
30. **Find the branch.** For every technical trigger above, the day's information sends you down one path. Identify it explicitly in your answer: "on the basis that the board has committed the site to development, the land is property, plant and equipment, because...".
31. **Apply the numbers you are given.** Pre-prepared technical content that is not applied to the facts on the day earns nothing.
32. **Say what is right as well as what is wrong** in any review or critique task.
33. **Conclude.** An analysis without a recommendation is an incomplete task. Add what information you still need.
34. **Check for contradictions** between your own answers across tasks.

If you are short of time on a task: get breadth first — a shorter point on each of the components beats a complete answer to one. A missing component almost guarantees a non-pass; a thin one does not.